

Candidate: SEM — Select Medical Holdings WCAS+Ortenzio Take-Private (\$16.50 cash)

Source: SEM_Select_Medical_WCAS_TakePrivate.md · Profile: merger_arb · Rendered: 2026-04-16

Candidate: SEM — Select Medical Holdings WCAS+Ortenzio Take-Private (\$16.50 cash)

- > **Score:** 22.5 / 42.5 — **WATCHLIST** (below 28 active threshold)
- > **Status:** Watchlist — spread too tight for active candidate; monitor for blow-out triggers
- > **Source Strategy:** EDGAR keyword scanning (mna category — via S64 strength-5 rotation backlog triaged in S66)
- > **Date Identified:** 2026-04-16 (S66 triage); formalized as candidate 2026-04-16 (S67)
- > **Last Updated:** 2026-04-16 (S67)

Company Overview

- **Name:** Select Medical Holdings Corporation
- **Ticker / CIK:** SEM / 0001320414
- **Exchange:** NYSE
- **Sector:** Health Care — Medical Care Facilities (critical illness recovery hospitals, inpatient rehabilitation, outpatient rehabilitation, occupational health)
- **Market Cap:** ~\$2.03B (2026-04-16)
- **Current Price:** \$16.38 (2026-04-16 yfinance fast_info)
- **Unaffected Price:** \$14.01 (pre-announcement reference per PREM14A)

Thesis

On **2026-04-15**, SEM filed a **PREM14A** (accession 0001104659-26-043505) and **SC 13E-3** (accession 0001104659-26-043531) disclosing a take-private transaction at **\$16.50 per share all-cash**. The buyer consortium is **Welsh, Carson, Anderson & Stowe XIV, L.P. (WCAS)** in partnership with the **Ortenzio family** (the founding family, via rollover equity). Merger Agreement was signed **March 2, 2026**. Corporate structure: Stallion Group Parent → Stallion Intermediate → Stallion MergerSub → merges with and into Select Medical Holdings, with Select surviving as a wholly-owned sub of the new private holdco.

At current price \$16.38, the gross spread is only **\$0.12 = 0.73%**. Outside Date is **December 1, 2026** (~7.5 months from today), implying an annualized IRR of ~1.1% if closes at the Outside Date — **below risk-free** (current 3M T-bill ~4%+). Deal certainty is decent (experienced PE sponsor + family rollover eliminates management alignment risk; no go-shop mentioned), but the spread is too tight to be compelling as an active merger-arb candidate.

Why watchlist not dead: The thesis flips meaningful on **spread blow-out** events. Specifically, (a) HSR second request / DOJ antitrust pushback, (b) shareholder litigation (Special Committee sued 658 times in proxy — need to verify litigation status), (c) WCAS funding disruption, (d) material-adverse-change event. Any of these widens the spread from 0.73% → 4–8% and re-prices the risk/reward.

Signal Evidence

| Signal | Source | Date | Detail |

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| PREM14A preliminary proxy | SEC EDGAR | 2026-04-15 | Accession 0001104659-26-043505; 1,354,627 chars plain-text extracted to working/s66/SEM_PREM14A_text.txt; triggered EDGAR mna strength-5 signal |

| SC 13E-3 going-private statement | SEC EDGAR | 2026-04-15 | Accession 0001104659-26-043531; required for affiliated going-private transactions (Rule 13e-3) |

| Merger Agreement signature | PREM14A disclosure | 2026-03-02 | WCAS + Ortenzio family rollover holders |

| Ortenzio references count | PREM14A parse | 2026-04-15 | 308 mentions — strong confirmation of family rollover structure |

Deal Terms (verified from PREM14A + SC 13E-3)

- **Consideration:** \$16.50 per Company Share, all cash, without interest, subject to tax withholding
- **Premium:** ~18% over \$14.01 unaffected price; ~25% over 90-day VWAP (per S66 extraction)
- **Buyer Consortium:**
 - Welsh, Carson, Anderson & Stowe XIV, L.P. ("WCAS", Parent)
 - Ortenzio family (Rollover Holders — retain equity interest in private SuccessorCo)
- **Merger Structure:** Reverse triangular — Stallion MergerSub merges into Select Medical Holdings; Select survives as wholly-owned sub of new private holdco (Stallion Intermediate)
- **Merger Agreement Date:** March 2, 2026
- **Termination Fee (Company → Parent):** \$66.504 million (~3.3% of deal value)
- **Reverse Termination Fee (Parent → Company):** \$133.010 million (~6.5% of deal value)
- **No go-shop:** confirmed (0 instances of "go-shop" in PREM14A)
- **Outside Date: December 1, 2026** — if Merger not consummated by this date, either party may terminate (subject to carve-outs for antitrust extension)
- **Special Committee:** Yes — SEM formed a Special Committee (658 references in PREM14A), signaling proper governance process given affiliated Rollover Holders
- **Appraisal Rights:** DGCL §262 available for dissenting shareholders
- **Regulatory:** HSR filing required (24 "HSR" references); standard antitrust clearance; no foreign investment approvals appear material

7-Dimension Scoring

| Dimension | Score (1-5) | Weight | Weighted | Rationale |

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| Signal Strength | 5 | ×2 | 10 | Signal IS the event — signed definitive agreement + PREM14A + SC 13E-3 |

| Catalyst Clarity | 4 | ×1 | 4 | Outside Date Dec 1, 2026; clear close path; small uncertainty around shareholder-vote timing |

| Info Asymmetry | 1 | ×1.5 | 1.5 | Public deal, low asymmetry. WCAS is a major PE firm with broad news coverage |

| Risk/Reward | 1 | ×1 | 1 | 0.73% gross spread vs 7.5-month timeline ≈ 1.1% annualized — below risk-free. Unattractive without spread widening |

| Edge Decay | 1 | ×1 | 1 | Fully diffused post-announcement |

| Liquidity | 4 | ×1 | 4 | \$2B mcap, reasonable ADV |

| Catalyst Timeline | 1 | ×1 | 1 | Long horizon (~7.5 months) with unfavorable spread |

| **Base Total** | | | **22.5** | **Below 28 threshold — WATCHLIST** |

Kill / Exit Conditions

- **K-SEM-1 (hard)**: Deal close → spread resolves at \$16.50; no upside from current
- **K-SEM-2 (hard)**: Deal breaks (MAC / HSR block / WCAS funding failure) → stock likely reverts to \$14.01 unaffected (or lower) = **-14% downside**
- **K-SEM-3 (hard)**: Shareholder litigation settles with bump in consideration → upside scenario, typical 2-5%
- **K-SEM-4 (soft — WATCHLIST TRIGGER)**: HSR second request issued → spread widens to 3-5% → re-evaluate as active candidate
- **K-SEM-5 (soft — WATCHLIST TRIGGER)**: Shareholder vote delayed beyond August 2026 → spread widens → re-evaluate

Watchlist Monitoring Cadence

Weekly checks:

1. Spread: SEM price vs \$16.50 — alert if spread >1.5%
2. HSR status (FTC/DOJ filings and any second requests)
3. Shareholder litigation dockets (Delaware Chancery + NY state court)
4. DEF 14A (definitive proxy) filing — typically 20-45 days after PREM14A
5. WCAS / Ortenzio public statements or news

Event triggers to upgrade to active:

- Spread >3% (would imply \$16.00 or below at \$16.50 deal price)
- Any deal-break signal (MAC invoked, HSR block, funding failure)
- Topping bid from strategic acquirer (unlikely but possible in hospital sector)

Event triggers to archive:

- Deal closes
- Definitive vote passes with >95% of shares — close-certainty maximal; spread likely collapses to 0.2%

Sources

- PREM14A 2026-04-15:
https://www.sec.gov/Archives/edgar/data/1320414/000110465926043505/tm268269-1_prem14a.htm
- SC 13E-3 2026-04-15:
https://www.sec.gov/Archives/edgar/data/1320414/000110465926043531/tm2611660-1_sc13e3.htm
- SEC submissions JSON: <https://data.sec.gov/submissions/CIK0001320414.json>
- PREM14A text extract: `working/s66/SEM_PREM14A_text.txt` (1,354,627 chars)
- Primary-source triage analysis: S66 SESSION_STATE (triaged as single genuine MNA finding among 8 EDGAR strength-5 signals)
- WCAS firm profile (public): <https://www.wcas.com/>

Update Log

| Date | Update |

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| 2026-04-16 (S66) | **Triaged** as 1 genuine M&A among 8 EDGAR strength-5 mna false-positives (see SESSION_STATE warning #20). Primary-source parse of PREM14A + SC 13E-3 confirmed Welsh Carson + Ortenzio \$16.50 cash deal. Score 22.5 — watchlist tier. |

| 2026-04-16 (S67) | Candidate file formalized. Outside Date Dec 1, 2026. Termination fees \$66.5M / \$133.0M. No go-shop. Spread 0.73%. Current price \$16.38. Monitoring cadence set: weekly spread + HSR + litigation checks. No new filings Apr 16. |

Created 2026-04-16 by scheduled Session 67. Watchlist status; monitor weekly unless event trigger.

Scoring Rubric — merger_arb

Dimension	Weight	Definition
Spread Size	3.0	Closing spread vs. expected terms.
Deal Certainty	2.5	Approval path, regulatory load, financing.
Annualized Return	2.0	Return annualized on expected close.
Break Risk	1.5	Probability and severity of deal failure.
Liquidity	1.0	ADV vs. intended position size.